VC EXITS

Chime's 54% IPO discount signals down rounds are here to stay

By Jacob Robbins & Nadine Manske

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Despite notching a lower valuation than at its peak in the private market, Chime closed its first day of trading on the Nasdaq at $37.11, a 37% bump over its IPO price.

The hotly anticipated fintech float shows growing comfort with a difficult reality for investors: the down-round IPO.

"You just can't hold on to those marks forever if that's not where your business is going," said Ryan Zauk, a fintech-focused investor at OMERS Ventures, which did not invest in Chime. "If every 2021 private market valuation stayed and nobody went to IPO until they cleared that hurdle, I think we'd be waiting a really long time."

Chime priced its IPO at $27 per share, giving it a fully diluted market cap of $11.6 billion—a hefty 54% discount from the company's peak $25 billion valuation in 2021. It did initial target pricing between $24 to $26.

"It's just a natural unclogging of the market that has to happen," said Zauk. "I think investors have finally gotten comfortable with that."

The IPO has become a tale of two exits in the current market. Investors like Sequoia and SoftBank, which got into Chime at its last private fundraising round in 2021, paid roughly the same price per share as the company's price during its first day of trading, according to PitchBook data and regulatory filings. However, investors like Crosslink Capital, Cathay Innovation and Menlo Ventures, which invested much earlier in Chime, are set for huge windfalls, assuming its stock price sustains.

"Nobody likes to raise money at a lower price," said Shawn Carolan, who led Menlo Ventures' early investment into Chime and is on its board. "The markets were out of whack, and now you have to deal with reality."

Menlo, which led Chime's $70 million Series C in 2018, plans to hold onto its stake in the company, Carolan confirmed, which is valued at about $470 million, according to the filings. Cathay, which led the startup's $18 million Series B in 2017, has a stake worth about $413 million.

But it's Crosslink Capital that might see one of the biggest windfalls. Leading Chime's $8 million Series A in 2014, the firm's stake is estimated to be around $789 million.

Headquartered in San Francisco, Chime gained traction by appealing to US consumers who traditionally have had difficulty accessing traditional financial institutions. Its initial pitch of ditching fees and minimum balance requirements was an early pull, according to Carolan.

“We just saw that banking was broken for a lot of the country, and if you make less than $100,000 you’re treated very poorly by the system,” he said. Chime makes most of its money from interchange fees, the fee paid by a merchant to a customer’s bank.

The company generated a profit of $12.9 million on $518.7 million in revenue in Q1 of 2025, though it was not profitable in the three years prior, according to its SEC filings. In 2022, it had net losses of $470.3 million, which shrunk to $203.3 million in 2023 and to $25.3 million in 2024.

And VCs are optimistic about Chime’s future and ability to fend off global competition.

“Chime spent hundreds of millions of dollars on marketing to build brand equity,” said Logan Allin, founder of Fin Capital, which gained a stake in Chime when the startup acquired Fin portfolio company Salt Labs in 2024. “Revolut entering the US—which they tried to do and failed—is not a real risk.”

The consumer fintech exit landscape has remained muted. While **some credit and banking startups are managing to raise capital**, there were only 12 exits in Q1, generating $1.6 billion in value. In 2021, 119 deals generated $193.4 billion in exit value, according to PitchBook latest **Retail Fintech VC Trends** report.

“It will really impact how we frame valuations,” said Bain Capital Ventures principal Alysaa Co. “I think it is the North Star for right now.”

Klarna, the buy now, pay later giant that planned to go public in the US earlier in 2025, could be the next consumer fintech IPO.

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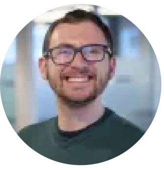

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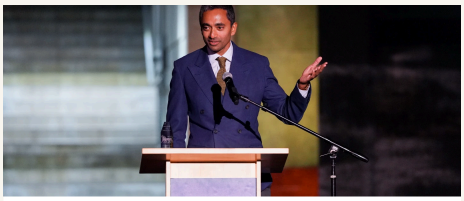

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